



Study Notes

Goods and Service Tax (GST) and GST Council

The Genesis & Journey of GST

1.1. Introduction: What is GST?

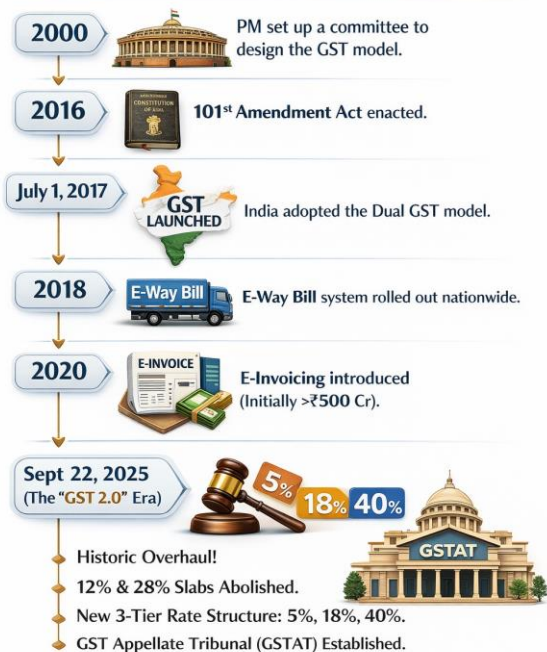
Indirect taxation in India witnessed a paradigm shift on **July 01, 2017**, ushering in a unified regime where multiple Central and State taxes were amalgamated into a single tax—**Goods and Services Tax (GST)**.

- **Nature:** It is a **destination-based consumption tax** levied on consumption, expenditure, or privilege, not on income or property.
- **Burden:** It is an indirect tax because the burden is shifted from the taxpayer (business) to the ultimate consumer.
- **The Golden Rule:** GST aims to eliminate the "**Cascading Effect**" (Tax on Tax). By taxing only the value added at each stage, it ensures a continuous chain of credit.

1.2. The Timeline: Evolution to "GST 2.0"

- **2000:** The then Prime Minister set up a committee to design the GST model.
- **2016:** The Constitution (**101st Amendment**) Act was enacted.
- **July 1, 2017: GST LAUNCHED.** India adopted the Dual GST model.
- **2018:** E-Way Bill system rolled out nationwide.
- **2020:** E-Invoicing introduced (Initially >₹500 Cr).
- **Sept 22, 2025 (The "GST 2.0" Era):** A historic overhaul where the GST Council abolished the 12% and 28% slabs, introducing a simplified **3-Tier Rate Structure (5%, 18%, 40%)** and the **GST Appellate Tribunal (GSTAT)**.

The Timeline: Evolution to "GST 2.0"



Constitutional Framework & Structure

2.1. The Legal Framework

- **Article 265:** Prohibits arbitrary collection of tax—"No tax shall be levied or collected except by authority of law".
- **Article 246A:** This special provision gave **concurrent powers** to both the Parliament and State Legislatures to make laws with respect to GST. This necessitated the "Dual Model."

2.2. The Dual GST Model

India adopted a Dual GST structure to respect its federal nature.

- **Intra-State Supply:** Levied by Centre (**CGST**) and State (**SGST/UTGST**) simultaneously.
- **Inter-State Supply:** Levied by Centre as **IGST** (Integrated GST), which is the sum of CGST + SGST.

2.3. The GST Council

The **GST Council** is the federal decision-making body where the Centre and States come together to finalize every aspect of GST. It is not just an advisory body; practically, its recommendations are binding.

A. Constitutional Basis (Article 279A)

- **Origin:** The President of India constituted the GST Council on **September 15, 2016**, under Article 279A of the Constitution.
- **Nature:** It is a joint forum of the Centre and the States, ensuring a harmonized national market.

B. Composition of the Council

The Council consists of the following members:

1. **Chairperson:** The Union Finance Minister (currently the FM of India).
2. **Member (Centre):** The Union Minister of State in charge of Revenue or Finance.
3. **Members (States):** The Minister in charge of Finance or Taxation (or any other Minister nominated) from each State Government.

C. How Decisions Are Taken (The Voting Math)

The GST Council is designed to ensure that neither the Centre nor the States can take a decision unilaterally. Every decision requires a **75% Majority** of the weighted votes cast.

D. Key Functions & Powers

The Council makes recommendations to the Union and the States on:

- **Tax Rates:** Determining the 5%, 18%, and 40% slabs (as seen in the 2025 reforms).
- **Exemptions:** Deciding which goods/services (like Health Insurance) attract 0% tax.
- **Thresholds:** Setting the registration limits (₹20L/₹40L).
- **Laws:** Drafting the CGST, SGST, and IGST laws.

E. Recent Critical Decisions (2025)

- **The "GST 2.0" Vote:** In September 2025, the Council achieved the rare 75% consensus to abolish the 12% and 28% slabs, despite initial resistance from some manufacturing states fearing revenue loss.

The GST Council (The Powerhouse of GST)

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Registration & Compliance

3.1. Threshold Limits (Updated 2025)

Every supplier must register if their aggregate turnover exceeds the following limits

Category	Limit (Turnover)
Service Providers	₹20 Lakhs (₹10 Lakhs for Special Category States)
Goods Suppliers	₹40 Lakhs (Increased from old ₹20L limit)

3.2. Compulsory Registration (Section 24)

Certain businesses must register regardless of turnover:

- Inter-State Suppliers.
- Persons paying tax under Reverse Charge Mechanism (RCM).
- **E-Commerce Operators** (e.g., Amazon, Zomato).

3.3. NEW: E-Commerce Simplified Scheme (Sept 2025)

- **The Change:** Previously, small vendors selling on e-commerce platforms had to register compulsorily.
- **The Reform:** Now, unregistered vendors with turnover up to ₹40 Lakhs can sell goods on E-Commerce platforms, provided they sell **only within their state (Intra-State)**. They are issued a unique "Enrolment Number" instead of a GSTIN.

Input Tax Credit (ITC)

4.1. The Core Concept

ITC allows businesses to set off the tax paid on purchases against their sales liability, ensuring only the "value added" is taxed.

4.2. Conditions to Claim Credit (Section 16)

1. Possession of a valid Tax Invoice.
2. Receipt of Goods/Services.
3. Tax actually paid to the Government.
4. **Crucial Update:** ITC is restricted to details appearing in **Form GSTR-2B** (Auto-drafted statement).

4.3. Blocked Credits (Section 17(5))

ITC is generally **not allowed** for:

- Personal use items (Food, Beauty treatment).
- Construction of immovable property (for own use).
- Motor Vehicles (unless for transportation business).

Digital Compliance (Returns & E-Invoicing)

5.1. Returns Mechanism

- **GSTR-1:** Statement of Outward Supplies (Sales) – Filed Monthly/Quarterly.
- **GSTR-3B:** Summary Return & Payment – Filed Monthly.
- **GSTR-9:** Annual Return.

5.2. E-Invoicing (Updated Limits)

- **Who:** Businesses with aggregate turnover > **₹5 Crore** (Reduced from old ₹10 Cr/₹500 Cr limits).
- **What:** B2B invoices must be uploaded to the **Invoice Registration Portal (IRP)** to generate a unique IRN.
- **New Rule (2025):** For turnover > ₹10 Crore, invoices must be uploaded within **30 days** of issuance.

The "GST 2.0" Rate Structure

6.1. GST 2.0 Reforms (Sept 22, 2025)

The GST Council officially **abolished the 4-Tier structure** (5, 12, 18, 28) mentioned in older texts. The new regime has only 3 active slabs.

6.2. The New 3-Tier Pyramid

- **Merit Rate (5%):**
 - *Covers:* Essentials, Medicines, Packaged Food, Fertilizers.
 - *Note:* Absorbed items from the old 12% slab.
- **Standard Rate (18%):**
 - *Covers:* White goods (TVs, ACs), Cement, Small Cars, Motorcycles (<350cc).
 - *Note:* Replaced the old 28% slab for consumer durables.
- **Demerit Rate (40%):**
 - *Covers:* "Sin Goods" – Aerated drinks, Tobacco, Online Gaming, Luxury SUVs (>1500cc).

6.3. Exemptions & Exclusions

- **Alcohol for Human Consumption:** Constitutionally outside GST. Subject to State Excise + VAT.
- **Petroleum Products:** (Crude, Diesel, Petrol, ATF, Natural Gas) are temporarily outside GST until the Council decides.
- **New Exemption:** Life & Health Insurance premiums are now **0% (Exempt)**.



Dispute Resolution

7.1. Institutional Update

A. National Anti-Profiteering Authority (NAA) - Dissolved

The mandate of the National Anti-Profiteering Authority (NAA), originally set up to ensure that the benefits of tax rate reductions are passed on to consumers, has ended.

- **Dissolution Date:** The NAA ceased to exist on **December 1, 2022**.
- **New Authority:** The Central Government, via Notification No. 23/2022-Central Tax, empowered the **Competition Commission of India (CCI)** to adjudicate all anti-profiteering cases from December 1, 2022 onwards.
- **Current Status:** All pending cases and new complaints regarding "profiteering" (not passing ITC benefits to consumers) are now investigated by the **Directorate General of Anti-Profiteering (DGAP)**, which submits its reports to the CCI for the final order.

B. GST Appellate Tribunal (GSTAT) - Operational 2025

After years of delay, the GSTAT is now fully functional, providing a critical relief mechanism for taxpayers who previously had to approach High Courts for relief.

- **Operational Date:** The GSTAT was formally launched on **September 24, 2025**, following the notification of the *GSTAT (Procedure) Rules, 2025* on **April 24, 2025**.
- **First President: Justice (Retd.) Sanjaya Kumar Mishra** was sworn in as the first President of the GSTAT on **May 6, 2024**.
- **Structure:**
 - **Principal Bench:** Located in **New Delhi**. It deals primarily with cases involving "Place of Supply" disputes.
 - **State Benches:** 31 State Benches have been established across the country to hear all other appeals.
- **Filing Appeals:** Appeals can now be filed electronically on the new **GSTAT Portal**. The filing window for backlog cases (past disputes) has been extended to **June 30, 2026**, to allow staggered filing.

7.2. Amnesty Scheme (Section 128A)

A major relief for past disputes (FY 2017-2020).

- **Benefit:** Waiver of **Interest and Penalty**.
- **Condition:** Full payment of tax by **March 31, 2025**.